❖ Horizon Asset Management, Inc. ❖

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Interim Market Commentary

Ironies in today's Financial Markets

Horizon Asset Management, Inc.
www.hamincny.com
470 Park Avenue South • 4th Floor • New York, NY 10016
(646) 495-7333

The More Things Change …
By Murray Stahl

I'll tell you a story. Many years ago, there was a virtuoso violinist by the name of Mischa Elman. As a young boy, he played at such a high level that he was giving solo performances. He continued performing until he was well into his seventies. Toward the end of his career he was asked, "Mr. Elman, in your many years of giving concerts, how have the audiences changed?" He said, "They haven't changed at all." The interviewer countered, "What makes you say that?" To which Elman replied, "When I was a young boy, the audience would say, 'Imagine someone at that age giving concerts at that level!' Now that I'm in my seventies they say, 'Imagine someone at that age giving concerts at that level!' It's the same thing."

That story is relevant to the theme of this commentary, which calls attention to how different the returns of various funds should be, but aren't. Table 1 (below) lists 14 closed-end funds that are either country or region funds. I chose them because, by charter, their investment approaches are definitionally distinct. Taking the Korea Fund as an example, whatever its virtues or deficiencies may be, by charter, that fund must be definitionally distinct from the Spain Fund. In addition, since the funds are all actively managed, each of the managers would have had not only different assessments to make about the economy, but also a dissimilarity in the range of investments within their available opportunity set, not to mention various currency issues. Those managers would have an assortment of styles in terms of the frequency with which they trade. Given the diversity in all of those factors and more, their returns should not be the same.

You'll note, however, that the performance of these funds, at market, is within a very narrow range. Not only has the average fund declined in the year ending by 50-odd percent, but there isn't a great deal of distinction between them. Once again taking the Korea Fund as an example, it declined by 64.2%, while the Spain Fund declined by 58.9%. The New Ireland Fund declined by 71.2%, while the Asia Tiger's Fund declined by 62.2%. The India Fund declined by 62.6%, while the Mexico Fund declined by 54.3%.

Is it not reasonable to assert that the totality of investment opportunities, such as they are in Mexico, is somewhat different from those in India? I think that's a reasonable proposition. Even if it were not so, is it not reasonable to imagine that the Mexican peso might have a different rate of change in that 12-month period than that of the Indian rupee?

Table 1:
Country Fund Closed End Fund Performance
52 Week Market Return Year Ending December 3rd, 2008

Asia Pacific Fund (APB)	(58.3)%
Asia Tigers Fund (GRR)	(62.2)%
European Equity Fund (EEA)	(58.9)%
First Israel Fund (ISL)	(63.1)%
Korea Fund (KF)	(64.2)%
Latin American Equity Fund (LAQ)	(61.1)%
Mexico Fund (MXF)	(54.3)%
MS India Investment Fund (IIF)	(62.6)%
New Ireland (IRL)	(71.2)%
Singapore Fund (SGF)	(58.7)%
Spain Fund (SNF)	(58.9)%
Templeton Russia & East European Fund (TRF)	(74.7)%
Thai Fund (TTF)	(64.3)%
Turkish Investment Fund (TKF)	(68.4)%

It's as if all of the investment opportunities were more or less identical. If they were identical, I see no reason to have a range of funds. My view on the marketplace, *which I know is unpopular and so far has been wrong*, is that what's going on right now has the characteristics of a bubble. You may recall that the technology/Internet bubble experienced in the year 2000 had a reality to it, and that reality is what defines it as a bubble.

In the year 2000, there is no question but that many technology companies were growing at a very rapid rate, examples of which are Intel, Cisco, Microsoft, and Applied Materials. While many companies that came public at that time were in their venture stages, they were at least increasing their revenues and making investments in the future. There's very little dispute about that. What made that market a bubble was that the pace of activity, such as it was in the year 2000, was simply unsustainable. It wasn't possible to have thousands of companies all growing at double-digit rates while serving the same basic customers.

Similarly, using the 14 country funds listed in Table 1 as examples, it is not reasonable to assert, whatever the economic future, that 14 distinct and distinguishable investment charters for funds managed by 14 distinct and differentiable teams with, presumably, 14 different outlooks should ultimately result in the same performance. Their performances should be different. It's just that the negative economic view is so predominant that it dwarfs every other conceivable situation and consideration.

Even a fund like Citadel, which is an industry leading market maker and an arbitrageur of distinction, is down almost 40% year-to-date. The fund happens to hold 30% in cash, and engages in hedged trading. Whatever the virtues or deficiencies of that fund might be, it must, by definition, be quite distinct from the 14 closed-end funds in Table 1, but its performance is not radically different.

When the market makes no distinction about any feature of investments apart from one, assumes that this lack of distinction applies uniformly to all investments, and further assumes that the current circumstance will completely occupy the investment horizon as we know it, with nothing else being important or relevant, I would say that those are the conditions that create a bubble.

Let's take eBay as a stock example, which is trading at a price of $13.63 as this is being written. As far as I can tell, the company has a P/E ratio of 9.3x, is free of any debt, and holds approximately $5 billion of cash on its balance sheet. In the past nine months, it appears to have repurchased approximately 60 million shares of stock. It now has an $17.4 billion market capitalization, which means that the business, effectively, is worth $12.4 billion, and it boasts operating margins at 25%.

Clearly, eBay's business is affected by the retail environment, and the retail environment is clearly affected by the economy; therefore, to a greater or lesser extent, eBay's earnings will be affected by the economy. But that's not the issue. The issue is how eBay's earnings are to be valued over the fullness of time. Are eBay's earnings merely a reflection of the current economic environment, or are eBay's earnings a reflection of the typical environment that it will encounter in the fullness of time? That's the question. It's worthy of note that in December 1998, near the beginning of the Internet bubble, eBay traded at $12.54. At that point, the great earnings history of eBay's was before it. The company now trades at a price not radically different from the split adjusted price it traded at in December 1998 when it genuinely was a venture capital company. If this situation doesn't prove the existence of an equity yield curve, I don't know what does. In December 1998, the discount rate applied to eBay's future earnings, such as it may have been, was clearly very low, and eBay traded at an enormously high valuation. Today, the discount rate applied to eBay's earnings, especially in the future years, is very high, which means that the equity yield curve is incredibly steep. The eBay share price is dominated by the current environment, as the eBay share price in 1998 was dominated by the environment of that time.

The environment as it is in December 2008 is as different from the environment of December 1998 as is possible. Virtually a decade has elapsed, but eBay trades at more or less the same price. Incidentally, it's interesting to compare eBay's performance in the last 12 months to that of the 14 closed-end funds listed in Table 1 for the same period, because eBay has declined by **59%**, which is a rate more or less equivalent to that of the Korea Fund and the Spain Fund. If eBay were included in the list of country funds under a different name, it would not appear to be out of place.

As a search engine, Yahoo! is a very different business from eBay, even though they are both in the Internet industry. Search engines are not unrelated to retail sales, but Yahoo! is paid in a way that is somewhat different from the way that eBay is paid. From everything we know, it appears that Yahoo! seems to be the loser, vis-à-vis Google, in the competitive race for search engine allegiance. It does not appear that eBay is a loser in its competitive race with whatever competition exists for it. In its own unique business, eBay remains the industry leader.

Ironically, Yahoo! has declined by 57.2% in the last 12 months. Twelve months ago Yahoo! traded at a valuation radically different from the companies traded in the various nations represented in our closed-end fund country list (Table 1). It has completely different fundamental circumstances, it's in a completely different industry and, yet, its performance would fit easily in the closed-end country list.

Last, but not least, let us call attention to Google, the apparent winner in the competitive race for search engine allegiance. Google sports a much better balance sheet than Yahoo!, or even eBay. As of the most recent reckoning, Google is still growing its earnings by a considerable quantity; yet, Google has declined by 59.2% in the last 12 months making it, too, eligible for inclusion in the country list, if we merely disguised its name. Different times, same returns; different securities, same returns. Mischa Elman may have died many decades ago, but his spirit is alive and well in the equity markets as we find them today.

Q: What are your thoughts on the Chinese stimulus package?

A: When you translate the 4 trillion Chinese renmimbi stimulus package into US dollars, it works out to about $586 billion (USD). Let's say that, entering October of this year, the Chinese GDP was about $7 trillion. A $586 billion stimulus package would be almost 8.5% of China's GDP. Assuming that the US GDP were about $14 trillion, and that same percent of GDP stimulus were applied, it would be nearly $1.2 trillion.

The US population approximates 300 million, so a $1.2 trillion stimulus package would be about $4,000 per person. If you said that the average household in the US had four people in it, that would be $16,000 per household. Can you imagine what that would be? And on top of that, they're cutting interest rates.